CASCADIA ANALYTICS

Innovative Solutions and Support Inc

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The Manufacturing Insourcing Inflection Unlocks a Doubling in Intrinsic Value

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Innovative Solutions and Support is navigating an aggressive operational transformation as manufacturing insourcing at its Exton facility converts structural gross margins from historical mid-40% baselines toward sustained 50% plus performance. While the market remains fixated on regulatory timing around delayed IPDG approvals and quarterly lumpiness in military programs, the commercial and business aviation platforms are expanding at rapid double-digit rates alongside accretive tuck-in acquisitions. With operating cash flow rising and capital expenditure obligations moderating following the completion of key facility cycles, cash conversion is set to compound significantly through FY2035. We initiate coverage with a Buy rating and a probability-weighted blended price target of $42.83, implying +97.9% upside from the reference spot price of $21.64.

BUY	$42.83	+97.9%	$21.64
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Market participants remain overly focused on sequential defense volatility and regulatory approval pacing for F-16 components, misinterpreting temporary quarterly timing issues as franchise decay. In contrast, our quantitative assessment reveals that commercial aviation momentum, combined with permanent insourcing benefits at the

Exton facility and disciplined acquisition integration, establishes an earnings baseline capable of compounding free cash flows to an 18.0% target margin.

Executive summary

Innovative Solutions and Support operates as an established avionics company providing cockpit displays, flight management systems, and engine monitoring products across commercial, business aviation, and defense platforms. The enterprise concluded a transformational FY2025 where total net sales reached $84.3M, representing a 78.6% year-over-year expansion, supported by operating income of $20.1M and net income of $15.6M. Full-year EBITDA expanded to $25.4M while operating margins finished at 23.8%, demonstrating meaningful operating leverage as operating expenses declined to 24.1% of sales compared to 34.4% in the prior period. Although working capital absorption from a $13M inventory safety-stock build restricted FY2025 free cash flow to $6.8M, return on equity remained exceptionally strong at 24.2% on diluted earnings per share of $0.88.

Recent operational results across FY2026 validate the underlying durability of the operating model through challenging product program transitions. In Q1 FY2026, revenue increased 36.5% year over year to $21.8M as insourced manufacturing at the expanded Exton facility drove gross margin to 54.5%, an increase of 1,310 basis points, lifting adjusted EBITDA by 141% to $7.4M. In Q2 FY2026, top-line growth decelerated to 2% at $22.4M as F-16 sales contracted by approximately $7M due to delayed IPDG approvals. However, the commercial and non-F-16 businesses surged 69% to $18.9M, insulating the company and keeping gross margins at 51.1%. Performance rebounded further in Q3 FY2026 with net sales growing 10.7% to $26.7M, maintaining a 51.7% gross margin despite lapping a difficult F-16 pull-forward comparison, which elevated adjusted EBITDA by 74.7% to $7.7M.

Capital allocation priorities have transitioned from heavy internal capacity additions to high-value strategic acquisition execution. Operating cash flow across the first nine months of FY2026 reached $15.5M, an increase of 50.4%, with free cash flow expanding 155% to $12.3M as the capital expenditure cycle at the Exton facility ended. The balance sheet absorbed significant strategic deployment, including $33M of M&A spending across three acquisitions in the first half of FY2026, followed by the acquisition of Aydin Displays which closed in July 2026. While net debt rose from $21.4M at the end of FY2025 to $43.8M in Q3 FY2026, net leverage remains conservative at 1.4x, supported by strong adjusted EBITDA generation and substantial liquidity across the core franchise.

Operational snapshot

$21.64	$84.3M	$6.8M	8.1%	0.60	$21.64
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Entrenched and Specialized

The economic moat surrounding Innovative Solutions and Support is grounded in extreme switching costs and rigorous certification dynamics inherent in avionics systems. The company specializes in cockpit displays, flight management systems, and engine monitoring products, which represent mission-critical components installed across complex commercial, military, and business aviation cockpits. Modifying or replacing these flight decks requires navigating comprehensive Federal Aviation Administration and Department of Defense airworthiness certifications. Once an avionics architecture is integrated into a specific airframe, fleet operators and original equipment manufacturers face prohibitive financial and operational friction when attempting to change suppliers, securing durable multi-year cash flow streams for existing platforms.

This structural defensibility was underscored throughout the operational shifts recorded across FY2025 and FY2026. When regulatory delays around IPDG approvals reduced F-16 revenue by roughly $7M in Q2 FY2026, the underlying platform positions remained secure while commercial programs picked up the slack. The non-F-16 operations expanded 69% year over year to $18.9M in that same period, proving that customer relationships across commercial and business aviation cockpits are driven by proprietary intellectual property and operational integration rather than commoditized hardware sourcing. Furthermore, backlog across the enterprise rose from $14.6M two years prior to $77.4M at the conclusion of FY2025, reaching $87.0M in Q2 FY2026 and settling at $82.9M in Q3 FY2026, providing extended revenue visibility spanning 12 to 18 months.

In addition to regulatory barriers, the consolidation of manufacturing capability inside the Exton facility has established an operational cost advantage. By terminating third-party supplier arrangements and completing the safety-stock inventory cycle, Innovative Solutions and Support eliminated duplicative overhead. This internal manufacturing capability allowed gross margins to rebound from a trough of 35.6% in Q3 FY2025 to 63.2% in Q4 FY2025, while sustaining margins of 54.5% in Q1 FY2026, 51.1% in Q2 FY2026, and 51.7% in Q3 FY2026. These sustained margins substantially exceed management guidance in the mid-40% range. The combined presence of proprietary intellectual property, complex regulatory hurdles, and internalized production creates an entrenched franchise capable of defending superior economic rents.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework implements an explicit multi-scenario discounted cash flow methodology using a 10-year forecast window from FY2026 through FY2035. Cash flows are discounted at a capital-asset-pricing-model derived WACC of 9.21%, reflecting an equity beta of 0.60, divided across 17.9 million diluted shares. The company entered this forecast window with a market capitalization of $387.4M at the reference spot price of $21.64. By modeling structural top-line growth and free cash flow margin normalization against the verified evidentiary record, we derive clear boundaries for equity valuation.

The terminal phase incorporates a conservative 3.0% perpetual growth rate in our base case scenario, reflecting general gross domestic product expansion alongside aerospace fleet growth. The divergence across scenarios reflects execution on multi-year program integrations, conversion of order backlog into billings, and the pace of integration for acquired entities such as Aydin Displays. Across all scenarios, the baseline operational architecture established by the Exton facility provides an elevated floor for long-term free cash flow yield.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	11.7%	15.2%	$20.65	-4.6%
Base	50%	18.4%	18.0%	$43.47	+100.9%
Bull	25%	21.5%	20.0%	$63.72	+194.5%

Bear $20.65

Assumes prolonged administrative delays around IPDG approvals, elevated operating expenses near $7.8M quarterly that compress margins, and backlog exhaustion as book-to-bill remains pressured. Revenue compounds at an 11.7% CAGR through FY2035 with target free cash flow margins peaking at 15.2%, resulting in an equity target of $20.65,

Base $43.47

Reflects normalized commercial fleet growth, ongoing conversion of the $82.9M backlog, and full operational benefits from the Exton expansion that support sustained gross margins above 50%. Top-line revenue expands at an 18.4% CAGR with terminal free cash flow margins reaching 18.0%, generating an intrinsic valuation of $43.47, implying +100.9% upside.

Bull $63.72

Incorporates flawless integration of acquired assets including Aydin Displays, immediate resolution of military program bottlenecks, and rapid scaling toward management's $250M revenue target for FY2029. Revenue expands at a 21.5% CAGR with free cash flow margins expanding to 20.0%, yielding an equity value of $63.72, which offers +194.5% upside.

representing -4.6% downside.

Valuation framework

A live discount rate, not a static hurdle

Our discount rate construction utilizes a 9.21% WACC derived from a verified equity beta of 0.60, mirroring the market risk profile of specialized aerospace suppliers with secured defense backlogs and commercial aftermarket installations. Innovative Solutions and Support maintains a low equity beta due to long-cycle contracted programs that shield operational demand from broader macroeconomic fluctuations. The capital structure in the model accommodates debt obligations that expanded to $43.8M of net debt in Q3 FY2026 following $33M of initial M&A deployment and the subsequent acquisition of Aydin Displays.

This 9.21% hurdle rate adequately penalizes the equity for execution risks, including the recent surge in quarterly operating expenses to $7.8M and the integration of multiple acquired entities. Because the discount rate is applied across an explicit forecast window extending to FY2035, near-term capital redeployment is balanced against prolonged terminal value generation. The cost of capital reflects that while quarterly revenue can display volatility, such as shifting from 45% growth in Q4 FY2025 to 2% in Q2 FY2026, the underlying cash flow profile remains supported by tangible commercial demand.

FCF margin normalization is the engine

The progression of free cash flow margins is the primary driver of our modeled equity upside. In FY2025, reported free cash flow margin was constrained to 8.1% on $6.8M of cash generation, significantly below the operating margin of 23.8% and net income of $15.6M, due to a $13M inventory build to ensure uninterrupted customer supply during production transitions. With the Exton manufacturing expansion completed and capital expenditures falling to $1.1M in Q1 FY2026, operating cash flows expanded to $15.5M and free cash flow surged to $12.3M over the first nine months of FY2026.

Our model projects target free cash flow margins to reach 15.2% in the bear scenario, 18.0% in the base scenario, and 20.0% in the bull scenario by the final forecast year. This margin expansion is justified by the operational leverage proven in Q1 FY2026, when adjusted EBITDA reached 34%, and in Q3 FY2026, when adjusted EBITDA reached $7.7M, representing an adjusted EBITDA margin of approximately 28.8% that aligns with the corporate IA NEXT target of 25% to 30%. As non-recurring integration costs and working capital pressures stabilize, conversion from operating income to free cash flow will normalize higher.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2035**
Live WACC	**9.21% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**0.60**
Diluted shares	**17.9 million**

BUY

over $42.83 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented (niche avionics suppliers). We assign a premium of +8 to +12% to sector median multiples on moat strength alone.

- certification + installed-base aftermarket, avionics are certified to specific airframes, and the Deep Sail Capital Q3 2026 letter (via Seeking Alpha, Oct 2026) notes the model of acquiring niche product lines from larger firms and earning high-margin recurring aftermarket revenue from certification and installed-base advantages.
- FY2025 revenue $84.30M (+78.6% year on year) and net income $15.63M (+123.3%) (stockanalysis.com company profile, Oct 2026); Q3 2026 items include the July 2026 acquisition of Aydin Displays for $24.5M cash and Russell 2000 inclusion effective 29 Jun 2026 (company releases via MarketMinute, 2026). Growth here is substantially acquisition-driven, so it evidences a roll-up/qualification strategy, not pricing power.

- The weakest element is scale and concentration, 147 employees (company profile via stockanalysis.com, Oct 2026), $93.15M TTM revenue, and a Q2 2026 earnings call that attributed a sharp year-on-year decline to the F-16 program (MarketBeat call summary, 2026). A single-program wobble moving the quarter is the opposite of a Wide moat.

On a multiple cross-check, the justified range is 19.9-20.7× / 18.8-19.5×. The cross-check value is $20.46-$21.21 vs Base $42.93, spot $19.83, on a base of Framework base from the October 27 moat report. The gap verdict is n/a, Base above spot; market ≈ justified.

Backlog is $82.9m, 30 Jun 2026, with coverage of 11.8 months vs FY2025 revenue, 9.3 months vs annualised Q3 sales and visibility rated Medium. On backlog alone, the stance is Contradicts the 2029 path on backlog alone, acquisitions plus new orders required.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 26 percent. Shown side by side with the moat premium or discount, the net stance is -12 to -8 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. In part, arithmetic width 37% of gap; directionally correct

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Commercial Fleet Expansion and In-House Production Scaling BUY

The operational engine of Innovative Solutions and Support is defined by the manufacture and integration of cockpit displays, flight management systems, and engine monitoring products. Historically weighted toward specific defense contracts, the commercial and business aviation categories have rapidly accelerated to become primary structural growth drivers. In Q2 FY2026, non-F-16 revenue jumped 69% year over year to $18.9M, effectively countering a $7M decline in F-16 sales and preserving the corporate top line. Commercial and business aviation demand continued to drive performance in Q3 FY2026, expanding net sales by 10.7% to $26.7M despite the company lapping strong F-16 pull-forward comparisons from the prior-year period.

A second pillar supporting revenue growth is the active scaling of acquired product lines. During the first half of FY2026, the company executed three acquisitions that contributed $10M in annual run-rate revenue at approximately 50% gross margins. This was followed by the closing of the Aydin Displays acquisition in July 2026. These additions broaden the company's product breadth across cockpit displays and mission systems while supplying cross-selling opportunities across defense and commercial customer bases. Management has established an explicit corporate revenue goal of $250M by FY2029, representing an approximate 31% compound annual growth rate from the $84.3M base established in FY2025.

Underpinning this expansion is the structural improvement in unit profitability generated by the Exton facility. Completing the insourcing of key flight management and cockpit display products allowed gross margins to exceed 51% throughout the first three quarters of FY2026, outperforming guidance benchmarks centered in the mid-40% range. While SG&A expenses climbed from $4.1M to $5.9M in Q3 FY2026 and total operating expenses expanded 53% to $7.8M, these outlays represent deliberate investments in research, engineering development, and acquisition integration necessary to absorb higher production volume.

What to monitor

- **IPDG Regulatory Approvals** The timing of delayed IPDG approvals is essential to unlocking delayed F-16 shipments and restoring defense program momentum after the $7M revenue contraction recorded in Q2 FY2026.
- **Operating Expense Normalization** Quarterly operating expenses rose 53% to $7.8M in Q3 FY2026, requiring careful monitoring to ensure SG&A spending recedes from $5.9M back toward historical levels as M&A integration concludes.
- **Backlog Conversion and Order Inflow** Backlog moderated from $87.0M in Q2 FY2026 to $82.9M in Q3 FY2026 on $22.7M in quarterly orders, making sustained book-to-bill rates above 1.0 critical to maintaining the 18.4% base case CAGR.

- **Exton Facility Operating Leverage** Gross margins must hold above the 50% baseline established across Q1 to Q3 FY2026 to confirm that insourcing gains remain durable against mix shifts.

+78.6%	48.1%	23.8%	8.1%	$21.4M	24.2%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$84.3M
Gross Profit	$40.5M
EBIT	$20.1M
Net Income	$15.6M
EBITDA	$25.4M
Free Cash Flow	$6.8M
Diluted EPS	$0.88
ROE	24.2%

Risk & moat matrix

The bear case

SHARE EROSION

Sluggish commercial airframe production rates or delayed cockpit modernization programs could weaken display system replacement demand. If

M&A DIGESTION

Integrating three acquisitions from early FY2026 alongside the Aydin Displays transaction could strain management resources and inflate operating

REGULATORY AND PRICING SCRUTINY

Extended delays in obtaining IPDG approvals for F-16 components demonstrate that regulatory friction can disrupt planned product deliveries.

TECHNOLOGY DISRUPTION

Rapid architectural shifts in next-generation flight decks could require higher research and development commitments than currently budgeted. Failure to maintain

REINVESTMENT TREADMILL

Although the initial Exton facility expansion cycle concluded with CapEx falling to $1.1M in Q1 FY2026, future manufacturing lines may demand unexpected capital. Additional facility investments

WACC AND DURATION SENSITIVITY

With an explicit 10-year discounted cash flow horizon through FY2035, changes in interest rate environments could increase the 9.21% discount rate. Upward pressure on capital costs

order momentum fails to replace completed programs, backlog could decline further from the current $82.9M level.

costs. Failure to achieve synergies would leave net debt elevated at $43.8M without generating planned margin expansion.

Prolonged certification timelines threaten customer program schedules and impede revenue recognition across defense platforms.

competitive specifications across flight management systems could disadvantage the company during aircraft upgrade selections.

would suppress free cash flow conversion below our 18.0% base target.

would disproportionately discount the value of terminal period cash flows.

The strengths

OLIGOPOLY POSITION

A specialized provider of certified cockpit displays and flight management systems enjoys high barriers to entry against uncertified competitors. Certified airworthiness status protects installed equipment from rapid replacement cycles.

FCF COMPOUNDING

Nine-month free cash flow surged 155% to $12.3M in FY2026 as the Exton CapEx cycle ended, proving significant cash generation capability. Operating cash flows of $15.5M provide self-funding liquidity for ongoing corporate obligations.

GEOGRAPHIC DURABILITY

Installed avionics platforms across commercial air transport, business aviation, and military fleets provide a geographically diversified revenue base. Commercial expansion offsetting defense program transitions demonstrates multi-channel fleet durability.

PIPELINE OPTIONALITY

Recent acquisitions provide $10M in annual run-rate revenue alongside Aydin Displays capabilities that expand system offerings. These additions position the business to pursue larger segments of management's $250M revenue target for FY2029.

The bottom line on risk and reward

Innovative Solutions and Support presents an asymmetric risk-reward profile, with intrinsic value anchored by structural manufacturing efficiencies and commercial avionics momentum. While defense deliveries faced a temporary headwind in FY2026 due to delayed IPDG approvals, the non-defense portfolio expanded 69% in Q2 FY2026, demonstrating commercial resilience. In Q3 FY2026, gross margins held at 51.7% and adjusted EBITDA surged 74.7% to $7.7M, reinforcing that structural gross margin expansion above 50% is firmly established following the completion of the Exton expansion.

Our quantitative model accounts for ongoing execution risks, including the recent rise in operating expenses to $7.8M and net debt expansion to $43.8M, by applying a conservative

25% weighting to a bear scenario target of $20.65. However, this is heavily outweighed by the base scenario value of $43.47 and bull scenario value of $63.72, which capture the company's compounding cash generation as free cash flow margins normalize toward 18.0% on an 18.4% base revenue CAGR.

We conclude that the prevailing market valuation of 16.1x EV/EBITDA and 24.6x P/E relative to FY2025 performance fails to reflect the operating leverage unlocked by internal manufacturing and portfolio expansion. By probability-weighting the bear, base, and bull scenarios at 25%, 50%, and 25% respectively, we establish our blended price target of $42.83, offering +97.9% upside from the reference spot price of $21.64. We reiterate our Buy recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Cockpit Displays and Flight Management Systems: Integrated Avionics Architecture

The core business of Innovative Solutions and Support centers on designing, engineering, and manufacturing cockpit displays, flight management systems, and engine monitoring products. In modern aircraft operations, these platforms serve as the central information interface, presenting critical navigation data, engine parameters, and operational controls to flight crews. Because these instruments govern flight safety, installation requires rigorous hardware and software airworthiness testing, binding operators to long-term supplier relationships that yield recurring modernization and retrofit opportunities.

The operational pivot initiated in FY2025 to insource production at the Exton facility marked a key milestone for the cockpit display and flight management product lines. During the transition, gross margin troughed at 35.6% in Q3 FY2025 due to redundant external support costs and safety-stock builds. However, the subsequent rebound to 63.2% in Q4 FY2025 demonstrated the operating leverage achieved by internalizing component assembly. By manufacturing complex displays and flight management hardware in-house, the company captured higher unit margins and shortened production cycles.

Strategic expansion through acquisitions has supplemented internal manufacturing capabilities. The closing of the Aydin Displays transaction in July 2026, alongside three earlier acquisitions adding $10M in run-rate revenue, directly enhances the display franchise. These additions expand the company's footprint across specialized military and ruggedized applications while supplying a broader hardware baseline to integrate proprietary flight management software. This strategic combination positions Innovative Solutions and Support to pursue fleet-wide avionics modernization programs across both commercial and military aviation.

What to monitor

- Gross margin stability across cockpit display lines, verifying that performance remains above 50% following the 51.7% result achieved in Q3 FY2026.

- Commercial aircraft retrofit adoption, which generated a 69% surge in non-F-16 revenues to $18.9M in Q2 FY2026.
- Integration milestones from the Aydin Displays acquisition closed in July 2026, tracking synergy realization and OpEx containment.
- Bookings momentum to restore backlog above the $82.9M level reported in Q3 FY2026 following $22.7M in quarterly orders.

Our read: The insourcing of cockpit display and flight management manufacturing has fundamentally elevated the enterprise's gross margin profile above 50%. While defense contract timing and integration spending create quarterly noise, the commercial franchise momentum and cash conversion validate our high-conviction Buy rating and $42.83 blended target.